IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)NO.46/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALGAMATION
IN THE MATTER OF
LATITUDES TOURISM PRIVATE LIMITED
WITH
TALLY SOLUTIONS PRIVATE LIMITED

Order delivered on: 27th August, 2018

Coram: Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s): Shri.Saji.P.John
Advocates
Unit 1002, 10th Floor,
#30, Prestige Meridian II
Bangalore-560001

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 20.7.2018

Latitudes Tourism Private Limited
331-336, Raheja Arcade,
Koramangala, Bangalore-560095 — Applicant Company No.1/Transferor Company

Tally Solutions Private Limited
331-336, Raheja Arcade,
Koramangala, Bangalore-560095 — Applicant Company No.2/Transferee Company

ORDER

This is a Joint Application filed on behalf of the Applicant Companies under Section 230 and 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangement and Amalgamation) Rules, 2016, praying to

1. Dispense with the meeting of the Equity Shareholders of the First Applicant Company under the provisions of the Companies Act, 2013; or; alternatively, if the First Applicant Company's prayer for dispensation of the said meeting is rejected, direct that the meeting of the Equity Shareholders of the First Applicant Company be held on such date and time as this Hon'ble Tribunal may deem fit and that a Chairman be appointment

for the meeting, and pass necessary directions with regard to issue of notice, convening, holding and conducting of the meeting; and pass orders dispensing with publication of notice of meeting in the newspapers, if the said meeting is not convened;

2. Dispense with the meeting of the Equity Shareholders of the Second Applicant Company under the provisions of the Companies Act, 2013; or; alternatively, if the Second Applicant Company's prayer for dispensation of the said meeting is rejected, direct that the meeting of the Equity Shareholders of the Second Applicant Company be held on such date and time as this Hon'ble Tribunal may deem fit and that a Chairman be appointment for the meeting, and pass necessary directions with regard to issue of notice, convening, holding and conducting of the meeting; and pass orders dispensing with publication of notice of meeting in the newspapers, if the said meeting is not convened;

3. Dispense with the meeting of the Creditors of the First Applicant Company under the provisions of the Companies Act, 2013;

4. Dispense with the meeting of the Secured Creditors of the Second Applicant Company under the provisions of the Companies Act, 2013;

5. Direct that the meeting of the Unsecured Creditors of the Second Applicant Company be held on such date and time as this Hon'ble Tribunal may deem fit and that a Chairman be appointed for the meeting, and pass necessary directions with regard to issue of notice, convening, holding and conducting of the meeting; and pass orders dispensing with publication of notice of meeting in the newspapers, if the said meeting is not convened;

The averments made in the Company Application are briefly described hereunder:-

Application is filed by the applicant companies stating that Applicant Company No.1/Transferor Company was incorporated on 9th January, 2002 as per the provisions of the Companies Act, 1956 in the name and style of Latitudes Tourism Private Limited with Registrar of Companies, Karnataka having CIN no.U63040KA2002PTC029980.The Registered office of the Applicant Company No.1/Transferor Company is situated at331-336, Raheja Arcade, Koramangala, Bengaluru-560095.

The main objects of the Applicant Company No.1/Transferor Company is to carry on the business of booking and reserving accommodations, seats, compartments and berths on railways, steamships, motor ships and boats, aeroplanes, helicopters, omnibuses and motor buses and to issue tickets for the same and to acquire or hire taxies, motor cars, helicopters, aeroplanes and all kinds of public vehicles, and transport, and to charter launches and boats and to book, reserve and secure, for and on behalf of the company, rooms and boarding and/or lodging accommodation in hotels, restaurants and boarding houses. The copy of Memorandum and Articles of Association of the Applicant Company is shown as **Annexure-A.**

The latest authorized share capital of Applicant Company No.1/Transferor Company is Rs.5,00,000/- divided into 50,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.2,21,750/- divided into 22,175 Equity Shares of Rs.10/-each fully paid up. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure –B.**

The Applicant Company No.2/Transferee Company was incorporated on 18th November, 1991 as per the provisions of the Companies Act, 1956 in the name and style of Peutronics Private Limited with Registrar of Companies, Karnataka. Subsequently on 25th November, 1999 the name of the Company was changed to Tally Solutions Private Limited having CIN no.U72200KA1991PTC012483. The Registered office of the Applicant Company No.2/Transferee Company is situated at 331-336, Raheja Arcade, Koramangala, Bengaluru-560095.

The main objects of the Applicant Company No.2/Transferee Company is to develop, market, trade, import, export and deal in computer software programme for use in Industries, Banks Financial Institutions, hotels and other commercial establishments. The copy of Memorandum and Articles of Association of the Applicant Company is shown as **Annexure-C.**

The latest authorized share capital of Applicant Company No.2/Transferee Company is Rs.36,45,00,000/- divided into 3,64,50,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.36,00,00,000/- divided into 3,60,00,000 Equity Shares of Rs.10/-each fully paid up. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure –D.**

It is further stated that, the Board of Directors of the Transferor Company and Transferee Company have approved and adopted a Scheme of Amalgamation at their meetings held on 17.4.2018 and 18.4.2018 respectively by virtue of which Latitudes Tourism Private Limited (Applicant Company No.1/ Transferor Company) is proposed to be merged with Tally Solutions Private Limited (Applicant Company No.2/ Transferee Company) subject to confirmation. Copies of the Board Resolution of Transferor and Transferee Company dated 17.4.2018 and 18.4.2018 respectively approving and adopting the Scheme of Amalgamation are shown as **Annexure-E and F respectively**.

It is further averred in the scheme that the amalgamation of both the Transferor Companies with Transferee Company would inter alia have the following benefits:

1. Greater integration and greater financial strength and flexibility for the amalgamated entity, which would result in maximizing overall shareholder value, and will improve the competitive position of the combined entity.
2. Greater efficiency in cash management of amalgamated entity and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund growth opportunities, to further improve shareholders value.

It is further stated that the Chartered Accountant after verification of the books of accounts and other records and documents of the Applicant Company No.1/Transferor Company has certified the number of shareholders of the Applicant Company No.1/Transferor Company as on 31st March, 2018. There are four shareholders. Certificate issued by the Chartered Accountant shown as **Annexure-J.**

It is further stated that there are no Secured Creditors in the Applicant Company No.1/Transferor Company as on 31st March, 2018 as certified by the Chartered Accountant. The Certificate of the Chartered accountant certifying the list of Secured Creditors is shown as **Annexure-L**.

It is further stated that there are no Unsecured Creditors in the Applicant Company No.1/Transferor Company as on 31st March, 2018 as certified by the Chartered Accountant. The Certificate of the Chartered Accountant certifying the list of Unsecured Creditors is shown as **Annexure-L**.

It is further stated that the Chartered Accountant after verification of the books of accounts and other records and documents of the Applicant Company No.2/Transferee Company has certified the number of shareholders of the Applicant Company

No.2/Transferee Company as on 31st March, 2018. There are five shareholders. Certificate issued by the Chartered Accountant shown as **Annexure-K.**

It is further stated that there are no Secured Creditors in the Applicant Company No.2/Transferee Company as on 31st March, 2018 as certified by the Chartered Accountant. The Certificate of the Chartered accountant certifying the list of Secured Creditors is shown as **Annexure-M**.

It is further stated that there are 6328 Unsecured Creditors in the Applicant Company No.2/Transferee Company as on 31st March, 2018 as certified by the Chartered Accountant. The Certificate of the Chartered Accountant certifying the list of Unsecured Creditors is shown as **Annexure-N**.

We have seen the consent affidavits filed by the four Equity shareholders of Applicant Company No.1/Transferor Company i.e., (i) Bhakti Modi Goenka, holding 22,073 equity shares, constituting 99.54% of the paid-up capital,(ii)Manoj Modi, holding 100 equity shares, constituting 0.45% of the paid-up capital,(iii) Bharat Goenka, holding 1 equity share, constituting 0.0045% of the paid-up capital,(iv)Tejas Goenka, holding 1 equity share, constituting 0.0045% of the paid-up capital.

We have seen the consent affidavits filed by the five Equity shareholders of Applicant Company No.2/Transferee Company i.e., (i) M/s.Latitude Tourism Private Limited, holding 180,00,000 equity shares, constituting 50.00% of the paid-up capital,(ii)Mrs.Sheela Goenka, holding 72,00,000 equity shares, constituting 20.00% of the paid-up capital,(iii)Mr.Tejas Goenka, holding 72,00,000 equity shares, constituting 20.00% of the paid-up capital,(iv)Mr.Bharat Goenka, holding 18,00,000 equity shares, constituting 5.00% of the paid-up capital, (v) Mr.Nupur Goenka, holding 18,00,000 equity shares, constituting 5.00% of the paid-up capital..

The Applicant Company No.1/Transferor Company is seeking an order to dispense with convening of meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors, on the ground that, there are four Equity Shareholders, no Secured Creditors and no Unsecured Creditors. All the four Shareholders have given their consent by way of affidavit for the proposed scheme of amalgamation.

The Applicant Company No.2/Transferee Company is seeking an order to dispense with convening of meetings of Equity Shareholders and Secured Creditors, on the ground

that, there are five Equity Shareholders, no Secured Creditors. All the five Shareholders have given their consent by way of affidavit for the proposed scheme of amalgamation.

After hearing the counsel and after perusing the documents filed, we pass the following order.

The meeting of the Unsecured Creditors of the Applicant Company No.2/Transferee Company be convened and held at No.331-336, Raheja Arcade, Koramangala, Bengaluru-560095 on Monday the 24th September, 2018 at 11:00 A.M. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation between the Latitude Tourism Private Limited (Applicant Company No.1/Transferor Company) and Tally Solutions Private Limited (Applicant Company No.2/Transferee Company).

Mr.Krisna T, Advocate as proposed by the Applicant Company No.2/Transferee Company is appointed as Chairperson and Mrs.Manali Shah as Scrutinizer for the Meeting of Unsecured Creditors. The remuneration of Chairperson and Scrutinizer is fixed at Rs.35,000/- and Rs.25,000/- respectively for convening the meeting of Unsecured Creditors.

The quorum for the Meeting of Unsecured Creditors is three thousand.

The Notice of the Meeting of Unsecured Creditors shall be published in an English Daily "The Hindu" and in Kannada Daily "Udayavani".

The Applicant Company No.2/Transferee Company or its authorized signatory is directed to issue notice(s) to Unsecured Creditors of Applicant Company No.2/Transferee Company by Registered or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Unsecured Creditors of Applicant Company No.2/Transferee Company as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Unsecured Creditors Meeting of Applicant Company No.2/Transferee Company at the place, day, date and time, along with a copy of scheme of amalgamation, a copy of Explanatory Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

The Applicant Company No.2/Transferee Company is directed at least 30 clear days before the Meeting of the Unsecured Creditors of the Applicant Company No.2/Transferee

Company to be held as aforesaid, a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Amalgamation and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Company as aforesaid.

The Applicant Company to serve the notice along with the copy of entire Application including the annexures and a copy of scheme upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice along with the copy of entire Application including the annexures and a copy of scheme upon the Registrar of Companies, Karnataka pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice along with the copy of entire Application including the annexures and a copy of scheme upon the Pr.CCIT, Karnataka & Goa, Designated Nodal Officer of Income Tax Department, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

The Applicant Company to serve the notice along with the copy of entire Application including the annexures and a copy of scheme upon the other Sectoral Regulators or Authorities, Stock Exchange if applicable, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

The said Chairman shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the scheme or resolution, if any, proposed at the meeting by any person(s).

The voting shall be in person or by proxy or authorised representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in

accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

The said Chairman to file affidavit not less than seven days before the day fixed for holding of the meeting and do report to this tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

In the result, the application is allowed and (a) Holding of meeting of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company No.1 is dispensed with. (b) Holding of meeting of Equity Shareholders and Secured Creditors of Applicant Company No.2 is dispensed with. In any eventuality when the Applicant Company approaches this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the Scheme of Amalgamation to put forth their contentions before the Tribunal.

ASHOK KUMAR MISHRA
MEMBER, TECHNICAL

RAJESWARA RAO VITTANALA
MEMBER, JUDICIAL

Sirisha